Health Claims Forum Webinar

Consumer Duty

What is it and the potential impact from a claims perspective?

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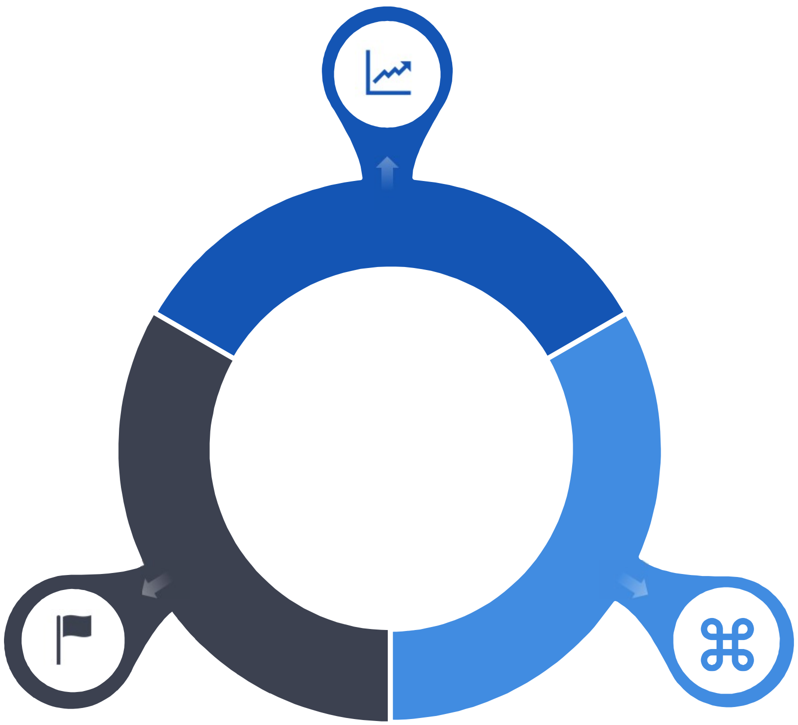
Agenda

1. Consumer Duty
2. Key changes
3. Outcomes monitoring
4. Policy ownership
5. The beneficiary gap
6. The claims impact

The Rules: ‘the Duty’ components

The Consumer Duty (the Duty) is a significant shift in the FCA’s expectations of firms. It introduces a more outcomes-focused approach to consumer protection and sets higher expectations for firms.



The Consumer Principle

A firm must act to deliver good outcomes for retail clients

Cross-cutting rules

A firm must:

- Act in good faith towards retail customers
- Avoid foreseeable harm to retail customers
- Enable and support retail customers to pursue their financial objective

Four Outcomes

Elements of the firm-consumer relationship:

1. Products and services
2. Price and value
3. Consumer understanding
4. Consumer support

Significant changes for manufacturers

Firms will need to consider not just what they say to consumers but when and how.

Firms must test customer understanding of communications

Firms must demonstrate they are delivering good customer outcomes

Firms must review products and show they are consistently providing value, including through distribution

PROD 4

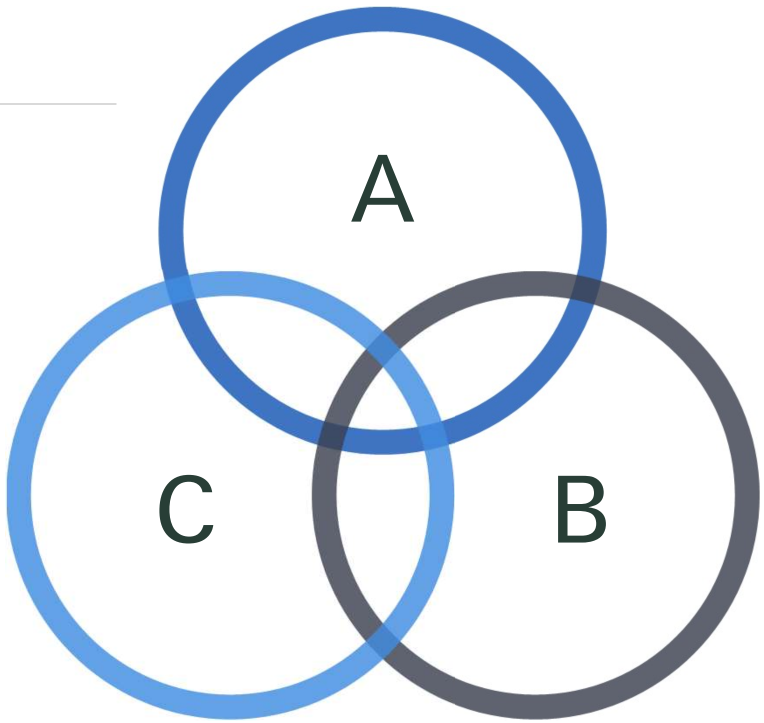
Does a product offer fair value? Firms will need to consider their activities through the lens of each component of the Consumer Duty rather than in isolation.

Identify Target Market

- What are the **needs** of the target market?
- What are the value expectations and **financial objectives** of these customers?
- Are there any **risks**?

Distribution

- Is the **distribution strategy** consistent with the needs of the target market?
- Is the product distributed to the target market?
- Are the **costs and charges** transparent and compatible with how useful the product is to consumers?



Product Testing

- Are there any features which could give rise to **poor value**?
- Has there been sufficient **product testing** in different scenario analyses (i.e. consumer testing / focus groups)?
- Are **reviews** scheduled with the appropriate MI to ensure that products continue to offer fair value to customers in the target market?

FCA's outcomes monitoring

- Define
- Monitor
- Evidence
- Justify

Turning regulation from tick-box to opportunity in claims

Turning regulation from tick-box to opportunity in claims

The FCA's the Consumer Support outcome places a large focus on claims, in particular:

1. Providing clear communications at every step of the process
2. Importance of claims data and tracking claim outcomes and the feedback loop
3. Continued involvement of the claims team in product development
4. Reinforces good claims management practices

Policy ownership: why does it matter?

More new policies in trust

12.6%

The proportion of all new single and joint life policies placed in trust has been going up since 2018 and **increased to 12.6 %** of all level and decreasing term policies in 2021, **up from 11.3% one year before.**

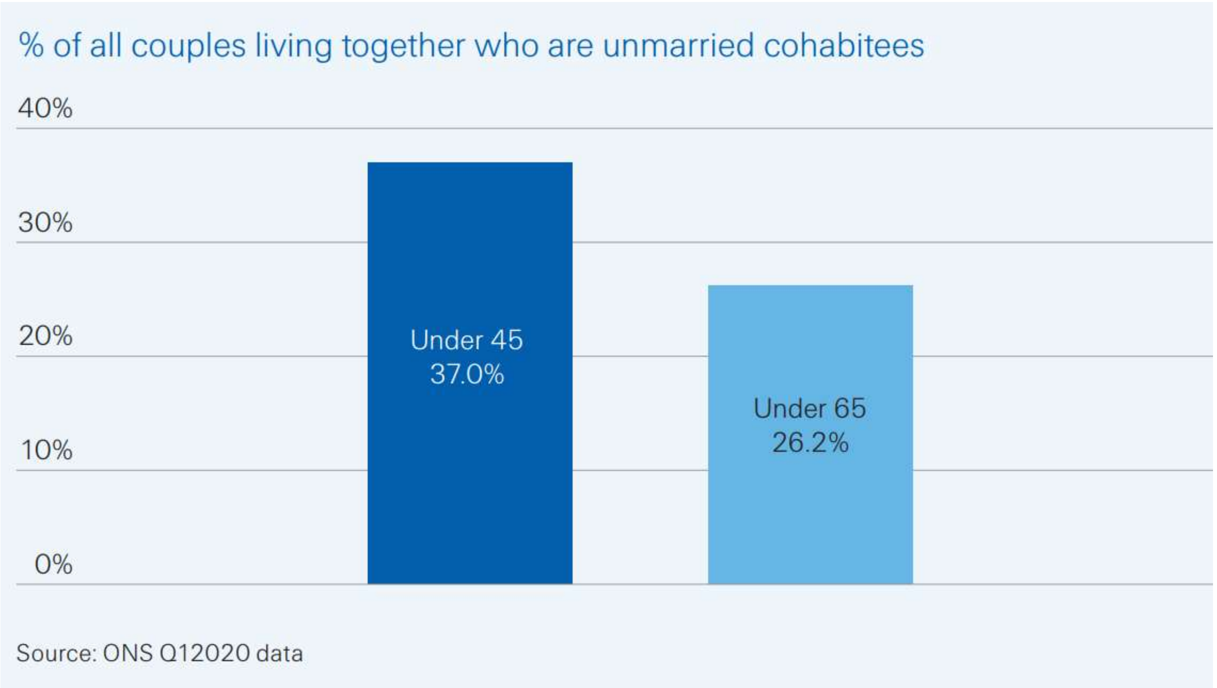
56,000

Although the **proportion of policies in trust has gone up**, so has the number of own life policies **not in trust (by 56k).** So there continued to be **over a million** of these written in 2021 for the third year running.

Beneficiary gap

The result is that across the market we still have a **beneficiary gap of 84% on own life** policies - the percentage of own life policies with no direction of benefits outside the estate.

Cohabitees are a significant group…



…and still increasing…

Why is this important from a claims perspective?

Why is policy ownership important for claims?

1. Clear communications at every step of the process
2. A fundamental part of turning a policy into a proposition
3. Consumer support and satisfaction – fewer complaints
4. Speed of claim paid to the intended beneficiary
5. Improved persistency through proper setup
6. And more!

Any questions?

Swiss Re

Thank you for joining!

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